Caterpillar (CAT) | 3Q26

Earnings Brief | 29 October 2026 | Post-call version | Josh, with Trevor (Q&A)

1 Executive snapshot

Consensus thesis. Investors own Caterpillar as the diversified way into AI data center power: gas gensets and Solar turbines sold years out, capacity rising toward nearly 3x 2024 for large engines, and revenue of about $79.6bn in FY26 and $88.7bn in FY27, with credit not in debate.

Thesis status: Intact. Versus expectations. Quarter in line: revenue $20.68bn vs $20.69bn consensus; adjusted EPS $7.20 vs $7.03 (Yahoo), but about $0.21 came from $128mn of IEEPA tariff refunds, so about $6.99 underlying. Outlook in line: FY26 guide maintained, not raised; the 'moderate' 4Q growth guide sits below 4Q consensus of $21.42bn.

Biggest changes

- Backlog reached a record $78bn (call), up $5.9bn on the quarter and about $38bn (96%) on the year, with growth in all three segments. Book-to-bill was about 1.3x (derived), down from about 1.5x in 2Q.
- Lead times moved out again: large gas prime engine orders now run to 2029 and turbines into 2030, against 'late 2028' in August. 58% of backlog ships within 12 months (59% in 2Q).
- Margin is flat underneath: adjusted operating margin excluding tariff refunds was about 20.0%, the same as 2Q. Power & Energy margin was 24.4% (24.6% in 2Q); price of $216mn was mostly offset by capacity costs.
- Guide held, 2027 deferred to January. 4Q sales are guided to 'moderate' growth; the FY range implies $19.1bn to $21.8bn. Shares fell 7.6% to $658.90 by 10:17 ET.
- Customers are paying earlier: customer advances added $1.4bn of cash in the quarter, while inventories rose $1.6bn to $22.2bn.

Investor takeaway. The consensus view holds but should stop paying for upside to 2026: demand and backlog keep growing, yet Caterpillar is capacity-bound and margin is flat once tariff refunds are removed, so the case now rests on 2027 capacity and pricing that management will frame only in January; credit quality holds.

What to monitor next quarter

1. January call: FY27 guide, capacity added in dollars or MW, and whether margin moves off the bottom of the band.
2. 4Q backlog and book-to-bill against about 1.3x, and any update on prime power GW (not given this quarter).
3. First 10 MW engine shipments in 4Q26, and Cat Financial's allowance ($332mn, up $38mn) against any data center developer exposure.

Pillar scorecard

Pillar	Quarter showed	Verdict
P1 Data center demand durable	Backlog $78bn; 'not seeing significant changes' in customer timing; no data center share disclosed	Confirmed
P2 Power Generation compounding	Power Generation +30% to $3,421mn; sales to users +75%	Confirmed
P3 Capacity ramp on time	Restart on track for 4Q; plans 'on schedule'; but 'no slack', a brief test outage in 3Q	Confirmed
P4 Margin and operating leverage	20.6% reported; about 20.0% ex refunds, flat QoQ; EPS beat came from refunds; FY margin near bottom of band	Challenged
P5 Cash return	9M MP&E FCF $9.5bn; guide held; Q3 buybacks slowed to $1.2bn	Confirmed

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY
Sales and revenues	$20,682mn	$20,543mn	$17,638mn	+0.7% [~] / +17.3% [↑]
Adj. margin ex IEEPA refunds	20.0%	20.0%	n.a.	[~] / [?]

Metric	3Q26	2Q26	3Q25	QoQ / YoY
Adjusted EPS	$7.20	$8.17	$4.95	[↓] / +45% [↑]
Power & Energy margin	24.4%	24.6%	21.9%	[~] / +2.5pp [↑]
Power Generation sales	$3,421mn	$3,098mn	$2,634mn	+10.4% [↑] / +29.9% [↑]
Backlog	$78bn	$72.1bn	~$40bn	+8.2% [↑] / +96% [↑]
Backlog due in 12 months	58%	59%	-	[~]
Book-to-bill, MP&E (derived)	~1.3x	~1.5x	-	[↓]
MP&E free cash flow	$3.8bn	$5.1bn	~$3.2bn	[↓] / +19% [↑]
Customer advances (current)	$5,329mn	$4,777mn	-	+11.6% [↑]
Cat Financial allowance	$332mn (0.91%)	$294mn (0.84%)	-	+13% [↓]

Guidance

Metric	Guidance	vs. prior	vs. consensus
FY26 sales	Up mid-to-high teens	Maintained	Yahoo FY $79.6bn (+17.8%) inside
4Q26 sales	Moderate growth YoY	New	Below Yahoo 4Q $21.42bn (+12%)
FY26 adj. margin ex refunds	Near bottom of target range	Maintained	n.a.
FY26 MP&E FCF	Top half of $6-15bn	Maintained	n.a.
FY27	Deferred to January	-	Yahoo $88.67bn / $32.59

Top risks. Estimate risk 4Q26 and 2027: 4Q consensus above guide; stock -7.6% on an in-line print | Capacity and production ramp: 'No slack'; brief test outage; mining truck ramp | Margin quality (tariffs, freight): Ex-refund margin flat at ~20%; bottom of band.

Analyst focus (Trevor). Analysts pressed on capacity and the 4Q/2027 bridge (Raso, Feniger, Cook) and on backlog quality (Wertheimer, Zakaria, Dobre, Revich). Management deferred every 2027 number to January and declined to size hyperscaler exposure or update prime power GW; nobody asked about Cat Financial or deposits.

8 Monitoring checklist

Tripwires. Backlog falls QoQ in P&E; a named data center deferral or cancellation; P&E margin below 22%; vendor financing losses.

Questions for owners (condensed)

1. $78bn of backlog plus frame agreements, but no P&E or data center split: what share of P&E backlog has non-refundable deposits or cancellation fees?
2. P&E earned $216mn of price but margin was flat QoQ at 24.4%: what incremental margin on 2027 capacity, and when does depreciation stop outrunning price?
3. Credit: Cat Financial's allowance rose $38mn to $332mn against $28mn of write-offs and flat past dues. How much is lent or committed to data center developers, including AIP's 2 GW?

Read-across for Kona. Caterpillar now books large gas prime engines into 2029 and turbines into 2030, but smaller gensets have much shorter lead times, some diesel slots are still open in 2028, and management says capacity is fungible across uses. At tens of MW, Kona should design around smaller units sourced through dealers and rental fleets rather than queue for large engines, and budget for deposits: Caterpillar's customer advances rose $1.4bn in the quarter. OEM vendor financing remains a precedent to ask for, but Cat Financial's allowance rose 13% in the quarter, so Kona should not plan on it.